A Reflexive Rebalancing

From Korea to Commodities: Who Wins When Modern Mercantilism Breaks the Dollar Loop

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Predictions

1. There is an 80% chance that an equal-weighted USD index versus KRW, JPY, THB, RM, and CAD, set to 100 on the 2024 daily average, averages ≤ 85 over 2025–2029, and in no calendar year from 2026–2029 does it rise back above 100.

2. There is an 80% chance the U.S. current-account deficit (4-quarter sum) shrinks by ≥ 25% between year-end 2024 and year-end 2029.

3. There is a 75% chance that a multilateral statement or agreement explicitly targeting a weaker U.S. dollar involving four or more countries (à la the Plaza Accord) is announced by December 31 2028.

4. There is a 70% chance the U.S. 10-year Treasury yield trades ≥ 5.9% at least once before December 30 2026 (intraday high), and a 95% chance it averages < 5.25% over 2026–2029.

5. There is a 80% chance the share of the U.S. Treasuries in global official FX reserves fall below 20% at some point before 31 December 2028 (Divide U.S. Treasury TIC 'Foreign Official' holdings by IMF COFER allocated reserves which currently sits at ~26%).

6. There is a 75% chance that by 31 December 2027 either the U.K. or U.S. central bank adopts a program that explicitly links balance-sheet expansion to keeping 10-year yields below a stated level (or spread to policy rates), as recorded in official statements or minutes.

7. There is an 80% chance that at least one of the U.S., U.K., or Japan records a negative real 10-year yield (nominal 10y minus YoY CPI ≤ 0%) for ≥ 12 consecutive months between 1 January 2026 and 31 December 2030.

8. There is an 85% chance the U.S. experiences no sovereign debt crisis—defined as any missed or delayed Treasury payment; a forced maturity extension or coupon change on marketable Treasuries; or, a 5-year USD sovereign CDS spread ≥ 250 bps for 20 consecutive trading days—between 1 January 2025 and 31 December 2032

9. There is a 75% chance Bitcoin trades above USD 200,000 at least once by 31 December 2027, and a 75% chance it trades above USD 300,000 by 31 Dec 2029.

10. There is a 70% chance the USD spot gold price (XAUUSD, daily close averaged by calendar year) is 30–50% above its 2024 annual average in 2029, and no single calendar year's average gain from 2025–2029 exceeds 20%, reflecting continued gradual price appreciation, but not an extreme "crash up."

11. There is a 75% chance USD/KRW trades at or below 850 at least once by 31 December 2030 (i.e., ≥ 40% below its January 2025 high of ~1,400).

12. There is a 60% chance that by 31 December 2028 South Korea's FX reserves/GDP fall ≥ 10 percentage points (from ~24%) after a law redirects ≥ USD 50 billion into a domestic industrial/infrastructure initiative.

13. There is a 75% chance South Korea's 10y–2y Korean Treasury Bond spread steepens by ≥100 bps from its July 2025 level (~35 bps to ≥ 135 bps) before December 31 2027.

14. There is a 65% chance that by 31 December 2029 South Korea's 10-year real yield (10-year KTB rate minus Korea's year-on-year CPI) will be ≥ 50 basis points than the equivalent U.S. real yield (10-year Treasury minus U.S. CPI) for at least six straight weeks.

15. There is a 75% chance South Korea's NIIP/GDP ratio declines by ≥ 40% from its 2024 level by 31 December 2028.

16. There is a 75% chance South Korea's stock market capitalization as a share of GDP (per World Bank indicator CM.MKT.LCAP.GD.ZS) reaches ≥ 200% in at least one calendar year between 2025 and 2031 (vs. ~125% in 2024).

17. There is an 80% chance an equal-weighted KRW/JPY basket appreciates ≥ 15% against the CNY between 31 December 2024 and 31 December 2028 (rebased index = 100 on 31 December 2024; ends ≥ 115).

18. There is a 70% chance that by 31 December 2028 China's goods exports to Japan + South Korea are ≥ 25% above 2024 levels; exports to the U.S. are ≤ 5% above 2024 levels; and China's total goods-exports/GDP ratio stays within ±2.0 percentage points of its 2024 level.

19. There is an 80% chance U.S. outward FDI to Latin America (excl. Bermuda/Cayman) exceeds flows to China + ASEAN by ≥ USD 25B cumulatively over 2026–2028 (BEA "financial transactions without current-cost adjustment").

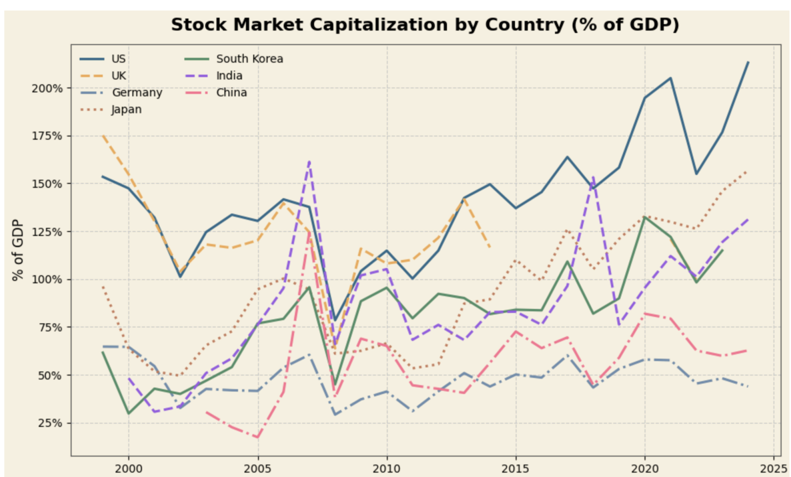
20. There is a 70% chance a 50/50 basket of BRL-denominated sovereign bonds (duration 7–10y) and Brazil resource equities (Materials + Energy) outperforms the Bloomberg U.S. 60/40 Index by ≥ 20% from 1 January 2026 to 31 December 2029 (total return, USD-hedged).

Following enactment of the Plaza Accord in 1985, Japan experienced one of the most explosive asset booms in financial history. What began as a multi-national effort to correct an overvalued U.S. dollar triggered an unexpected reflexive cycle for an unsuspecting trade partner. Japan's currency surged, foreign capital flooded in, and Japanese equities and real estate soared. The result: an economic transformation few anticipated, and one of the most dramatic bull markets of the 20th century. History repeats and, four decades later, the preconditions to ignite another foreign investor stampede into an East Asian economy are in place, and policymakers are edging ever closer to lighting the match—only this time, it's South Korea's golden era that lies in wait.

The global economy is unbalanced. Fifty years of globalization, disinflation, hyperfinancialization in developed markets, and persistent appreciation of the U.S. dollar as the global reserve currency has ushered in an era of unprecedented growth for the U.S. economy.

However, decades of increasing global trade imbalances led to unintended consequences, straining surplus and deficit countries alike, and triggering the rise of Modern Mercantilism: an era defined by governments increasingly acting in national self-interests, rethinking national priorities, supply chains, and trade flows around populist domestic demands.

As the anchor of the global financial system and its largest net importer, the U.S. now finds itself at the center of the pressures building from decades of imbalance. Since the Nixon Shock in 1971, liquidity creation has been immense. More money has been printed over the past fifty years than in any other period in history. Globalization provided trade-surplus countries access to cheap labor and near-limitless savings. Critically, a huge portion of that liquidity has been directed towards financial assets, rather than inflationary consumption, in a virtuous cycle of disinflation, falling rates, rising liquidity, and asset appreciation.



Even in the face of perpetual twin deficits and accommodative monetary policy, global integration suppressed inflation and bolstered the dollar, increasing asset prices and global wealth creation. China and other surplus nations fed this consumption and reinvested their dollar denominated export earnings into U.S. dollar assets such as Treasuries, equities, and real estate. This reflexive loop has driven U.S. financial markets higher and further strengthened the dollar, encouraging even more foreign capital inflows, consumption, and deeper twin deficits [*see Appendix A1*].

Theoretically, such trade imbalances should self-correct through floating currency exchange rates. As the U.S. buys more foreign goods, it should sell the U.S. dollar to buy foreign currencies, weakening the dollar and making U.S. exports more competitive. In practice, this adjustment has not occurred because foreigners have not sold their incoming U.S. dollars. Foreign central banks have hoarded dollars to suppress their own currencies and preserve export competitiveness. In doing so, they've accepted lower profits for higher employment. Additionally, the U.S. dollar's perceived safety, liquidity, superior carry, and equity markets attract foreign investors. These pressures have left the U.S. dollar artificially overvalued relative to export surplus countries [*see Appendix A1*].

Today, the U.S. stands at the center of the largest asset bubble in history relative to world GDP, capping off fifty years of persistent deficits and hyperfinancialization. These trends are now colliding with structural constraints, and the repercussions will be global.

Structural constraints will force a rerouting of previous flows to embrace a new group of beneficiaries and leave old ones looking for new sources of liquidity. And as the largest consumer and issuer of the reserve currency, the U.S. alone can ignite the spark that pulls the world into the Modern Mercantilist era.

The demands of domestic populations are a key driver behind Modern Mercantilism. In the U.S., populist candidates and policies are gaining traction among voters demanding solutions to growing economic and social dislocations:

- A historic divergence between returns to labor and capital has eroded broad-based economic participation.
- Housing inflation, driven by financial asset appreciation, has made affordability a central issue [*see Appendix A2*].
- The industrial hollowing of regions like the Rust Belt has created persistent underemployment and social dislocation.
- National Security interests in strategic sectors such as semiconductors, pharmaceuticals, and rare earths, are vulnerable due to adversarial supply chain dependencies .

Financial markets make their own demands. Did the 10-year U.S. Treasury yield spike 80 basis points starting the day after the Fed's September 2024 cut, in part because a weaker U.S. dollar would lead to reduced global demand for Treasuries, on which the U.S. so heavily depends? Where was the U.S. Treasury market's "flight to safety" bid during April's Liberation Day fiasco, which forced the Trump administration to postpone disruptive tariffs [*see Appendix A3*]?

The U.S. faces pressure points that can only be relieved by some combination of the following:

- The U.S. dollar weakens, allowing the U.S. to export more and surplus countries to import more.
- The U.S. consumes less and saves more.
- Exporting countries consume more and save less.

The Trump administration has placed prominent U.S. dollar hawks, who have shown clear intentions to reduce U.S. consumption and weaken the dollar, in positions of economic power. So far, the Trump administration has attempted to weaken the dollar and consumption in a unilateral manner. Tariffs act as a consumption tax and the One Big Beautiful Bill included a proposal to tax foreign holdings of U.S. dollar assets up until June 26th, just one week before its passage [*see Appendix A4*].

From a multilateral perspective, the rumored "Mar-a-Lago Accords" will likely return later in the Trump term. The U.S. is experiencing the same conditions that preceded the Plaza Accord in 1985, and many countries still rely heavily on their alliance with the U.S. These conditions open up the possibility for international cooperation [*see Appendix A4*].

Anticipating a potential shift in U.S. consumption, savings, and a structurally weaker dollar, supports the following global predictions [*see Appendix A5*].

► **Export Countries Must Domestically Stimulate**:

Export-dependent economies will need to stimulate domestically if demand for their exports weaken. Policymakers will work within their country's constraints to stimulate through monetary and fiscal channels. This implies a steepening of yield curves: accommodative policy at the front end to spur internal demand, with steepening pressures at the long end reflecting fiscal expansion. Then consider that years of trade surpluses have resulted in excessive accumulation of Foreign Exchange Reserves (FX reserves) and positive Net International Investment Positions (NIIPs). This is additional potential energy that could spark a reflexive reversal of capital flows back into respective countries. South Korea looks extremely vulnerable, yet well prepared to respond to a shift in trade [*see Appendix A6*].

► **Select Export Countries Will Not Domestically Stimulate:**

China has not stimulated to get out of its current financial malaise and has demonstrated limited appetite to stimulate domestic consumption. Beijing will continue prioritizing export competitiveness. If the U.S. dollar weakens, China's policy suggests it will maintain its strategic RMB "peg" to the USD and leverage appreciating currencies of competitor exporters. This strategy offsets excess production, once bound for the U.S., to countries experiencing currency appreciation [*see Appendix A7*].

► **Financial Repression Goes Mainstream:**

Reduced trade will result in decreased consumption for deficit countries and a loss of income for surplus countries which, in turn, reduces GDP. The potential for declines in GDP will encourage countries to stimulate to smooth this transition. Many nations already exhibit elevated debt-to-GDP, fiscal deficit-to-GDP, and increasing long end rates. Countries who have previously depended on importing global savings to support their debt markets are most attuned to increasing sovereign debt yields. Financial repression as a result of central banks supporting their debt markets is a likely policy response. Central banks possess theoretically unlimited balance sheets; thus, yield curve control and persistent negative real rates represent credible policy pathways. Financial engineering will keep a sovereign debt crisis an arm's length away for major Developed Markets (DMs). When considering central bank actions, don't forget to use your imagination [*see Appendix A8*].

► **Real Assets Will Outperform and Attract Reserve Capital:**

As paper currencies, especially traditional reserve currencies such as USD, EUR, and GBP, experience credibility erosion through persistent inflation and debasement, central banks and sovereign wealth funds will progressively diversify reserves toward tangible commodities, gold, and commodity-linked assets. If a deficit country's implicit policy is to debase real wealth through currency weakness, real assets will attract capital. Additionally, creditor nations (large positive NIIP), realizing their paper claims own less real assets than at any other time in history, will likely move to protect those claims. [*see Appendix A9*].

► **Opportunities in Latin America:**

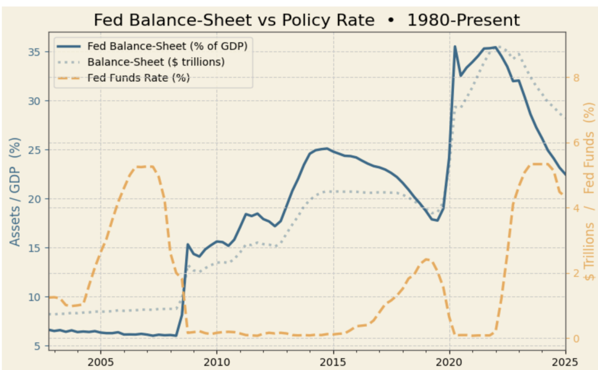
The U.S. is actively de-risking its supply chains from Asia and pivoting toward the Americas. The Trump administration's tariffs have focused on trading partners largely outside of LATAM.

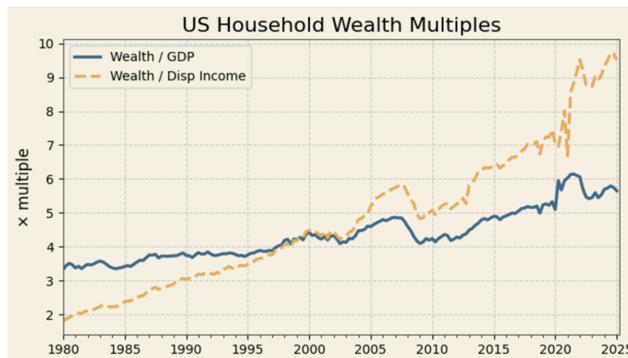
Moreover, the global shift to prioritize real assets and commodities over paper claims spotlights LATAM's under-invested and resource-rich countries [*see Appendix A10*].

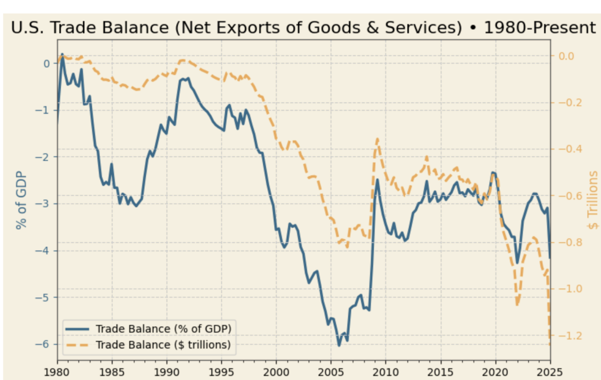
Appendix

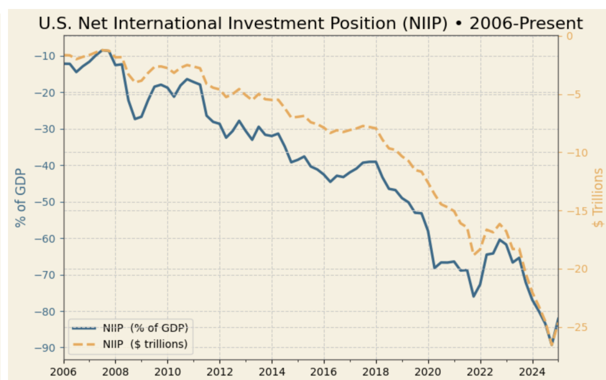
A1 American Exceptionalism

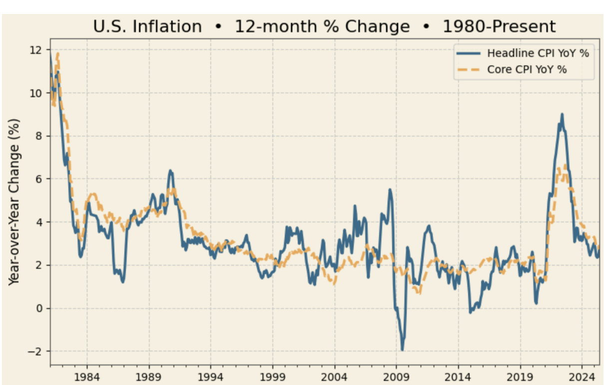
Understanding the forces behind the United States' virtuous cycle over the last 40 years allows us to anticipate how these forces might unwind. Overeasy fiscal and monetary policy supported all asset prices and increased household wealth. Household wealth encouraged consumption of cheap foreign exports, exacerbating the trade deficit. The trade deficit exported U.S. dollars to foreigners who bought U.S. dollar assets, stretching the U.S. NIIP and strengthening the Dollar against these countries' respective currencies. This supports twin deficits and easy policy all while containing inflation … and so the cycle repeats.

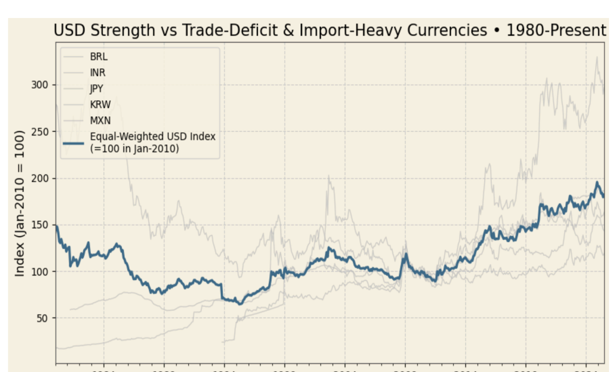






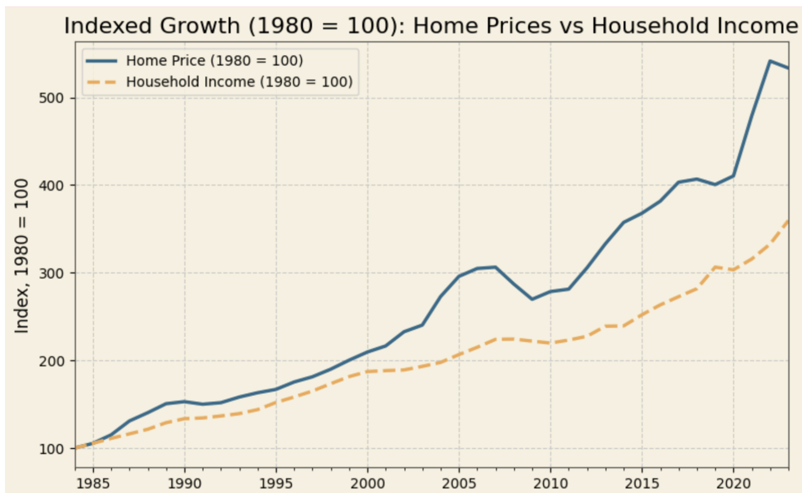






A2 Housing and Inflation in the U.S.

Prior to 1983, the Consumer Price Index (CPI) directly accounted for home prices, mortgage rates, taxes, and insurance. However, the shift to Owner's Equivalent Rent (OER), which measures hypothetical rental costs rather than actual home prices, has caused the Bureau of Labor Statistics to understate real housing inflation in CPI since. This move fundamentally distorts U.S. monetary policy and housing affordability, allowing the Fed to overlook the largest single expense for Americans as it continued to increase along with all other asset prices.



Home prices have far outpaced wage growth which is a cause for today's housing affordability crisis.

A3 The Triple Yasu

(Predictions 4 & 8)

The Triple Yasu was originally coined to refer to the frightening combination of declining Japanese currency, equities, and bonds as foreigners abandoned their Japanese investments. Over the last 40 years U.S. stocks and bonds have had a strong negative correlation, most evident by the success of the 60-40 stock-bond portfolio. This correlation was evident during times of U.S. economic slowdowns, and especially prominent during global economic scares, such as the Covid-19 pandemic which saw the “flight to safety” trade bid U.S. Treasuries as a global safe haven.

However, in the first 20% drawdown in U.S. equities since Covid-19, the week of April’s Liberation Day saw 10-year Treasury yields struggle to move below 4% and then suddenly rose above 4.2% all while the stock market and U.S. dollar continued to decline. Shortly thereafter, Trump delayed tariffs because “everyone was getting a little yippy”, undoubtedly referring to the Treasury market.

While financial commentators often find reasons to create narratives suggesting the U.S. will soon experience an emerging market-like currency crisis, it's more likely foreign investors will hedge their U.S. dollar investments rather than cut off their exposure to the most exciting and liquid equity markets in the world, particularly due to exposure to major AI trends. This move alone is enough to cause short term pressures akin to The Triple Yasu, especially considering in late 2024, foreign U.S. dollar asset exposure was at record highs and, data suggests, mostly unhedged.

A4 Trump’s Administration Wants A Weaker Dollar

(Predictions 1, 2, & 3)

"The dollar’s reserve status has caused persistent currency distortions and contributed, along with other countries’ unfair barriers to trade, to unsustainable trade deficits, which have decimated our manufacturing sector.” — Stephen Miran, April 7, 2025

“I think in some ways you can argue that the reserve currency status is a massive subsidy to American consumers but a massive tax on American producers.” — V.P. J.D. Vance, April 11, 2025

“A lot of our trading partners, including some of our allies, have not been good partners… If tariffs are so bad, why do they have them?” — Scott Bessent, April 6, 2025

Trump’s appointment of Stephen Miran as the Head of his Council of Economic Advisors was perhaps the most obvious hint that Trump was going to implement steep tariffs early in his term. Miran had published a paper, “A User’s Guide to Restructuring the Global Trading System” on November 13th, 5 days after Trump’s victory, that advocated for use of tariffs and currency interventions to address the structural overvaluation of the dollar caused by global inelastic demand for U.S. Treasury reserve assets. Miran asserted that these actions could correct persistent trade asymmetries without causing inflation or substantial growth drag.

In a landmark speech delivered in February, in Munich, Vice-President J.D. Vance explicitly criticized the costs borne by American producers as a consequence of maintaining the dollar's reserve currency status and declared the U.S. would no longer subsidize global security while tolerating economic hollowing at home. Two weeks later, Germany announced breakthrough legislation that approved a fiscal package removing defense spending from the constitutional “debt‑brake” constraint, allocating some $535 billion toward defense, infrastructure, and climate initiatives over the next decade, effectively doubling their defense budget.

The One Big Beautiful Bill notably included a controversial proposal to impose punitive taxes on foreign holdings of U.S. dollar-denominated assets. However, this proposal was ultimately removed just one week before the bill’s passing.

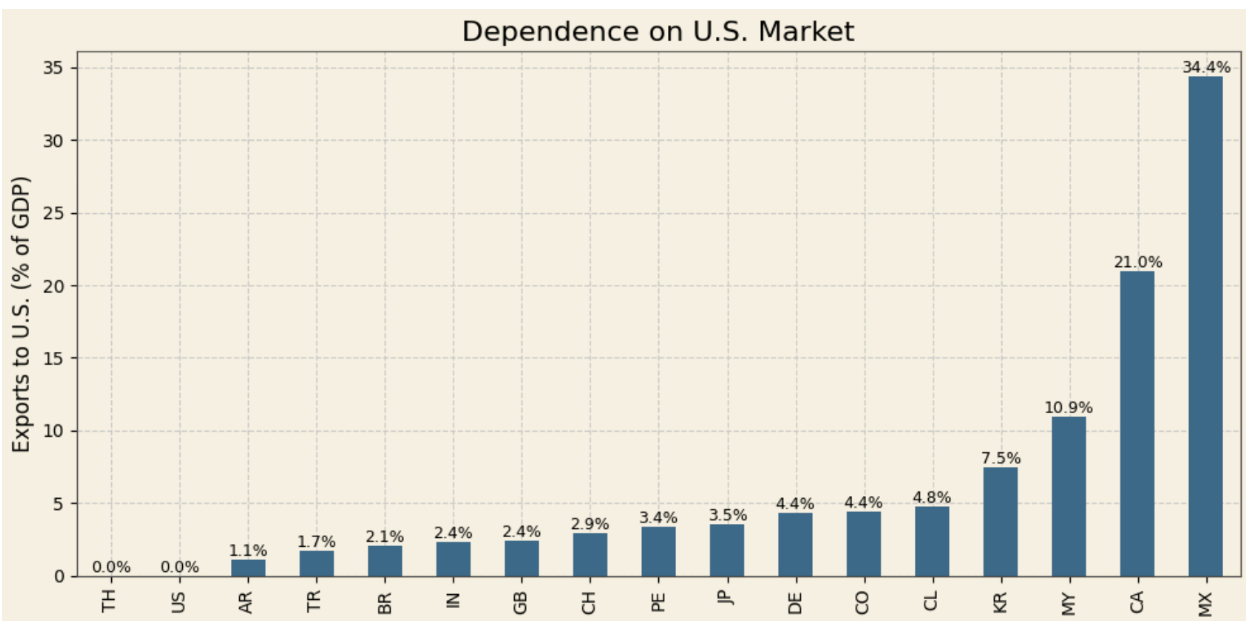
The same conditions that preceded the Plaza Accord of 1985 are in place today. The rumored “Mar-a-Lago Accords”, popularized by Trump-era strategists like Miran, refers to a potential framework for a globally coordinated currency realignment aimed at weakening the U.S. dollar. As yet, no formal negotiations have taken place and the administration has made no official statements, but it's likely Trump will pursue a multilateral approach to trade reform later in his term, focusing on the cooperation of U.S. allies.

Trump's retreat from the tariff policies announced on Liberation Day signaled the administration's unwillingness to endure a recession. However, significant tariffs will likely return over a less disruptive time horizon and paired with complementary stimulative domestic policy achievements. At the time of writing in mid-July, the One Big Beautiful Bill has passed, the stock market is at all time highs, and Trump is beginning to reinstate Liberation Day-level tariffs on select countries.

A5 A Change in U.S. Behavior Changes the World's Behavior

As the issuer of the global reserve currency and the largest net importer in absolute terms, the U.S. occupies a uniquely reflexive position within global trade. American consumption alone drives the surpluses of many export-led economies, while its financial markets absorb the corresponding capital outflows. A reduction in U.S. imports, whether by design through tariffs, taxes, or dollar devaluation, forces an adjustment upon others, not just the U.S.

The chart below shows the countries with the highest share of GDP derived from exports to the U.S. Small, open economies like Mexico, Malaysia, South Korea, and Chile are particularly exposed. Even large economies like Germany and Japan are vulnerable. These countries have structured economies reliant on persistent U.S. demand to absorb their production surpluses. A retrenchment in U.S. demand implies not only a direct hit to their trade balances, but a broader disruption to domestic income, employment, and capital formation.



*TH data not available.

A6 Unlocking the Next East Asian Asset Boom

(Predictions 11, 12, 13, 14, 15 & 16)

Some surplus countries are in a unique position to embrace shifts in trade and currencies in ways that can transform their economies and raise living standards. For instance, relative fiscal responsibility post-Covid has given South Korea a low debt-GDP ratio, 10 year yield, a +30bps 10-2s spread, and a whopping 24% FX reserves/GDP. Most noticeably, Korea's NIIP/GDP has increased by 965% over just the last 10 years.

Korea: Key Macro & Market Metrics (latest)

Metric	Value	Metric	Value
CurrentAcct_to_GDP_%	1.92	GovDebt_to_GDP	52.3
Fiscal_Deficit_to_GDP	-3.9	Nominal_10y_Yield	2.84
Real_10y_Yield	0.45	Policy_Rate_%	2.5
FX_Reserves_to_GDP_%	24.6	NIIP/GDP_%_Change_10y_Lookb	965
Exports_to_USA_as_%_of_GDP	7.46	ForOwn_%_MktCap	—
P_E_Pctile_20y_Lookback	87	Nasdaq_Corr_1y	0.08

As Korean exports to the U.S., which account for greater than 7% of GDP, come under pressure due to a weakening USD (and strengthening Won), monetary and fiscal support to promote domestic consumption and a smooth transition is appropriate. This is especially warranted because Korea is in a position to offset upward pressure on inflation and interest rates due to several unique reasons:

- A large coffer of FX reserves can be focused on domestic initiatives without the need for issuing new debt to fund expenditures.
- High domestic savings rate (~35%) can easily absorb an increase in KTB issuance.
- Appreciation of the Won will decrease import costs of raw materials and goods countering inflationary pressures.
- The explosion of Korea's NIIP over the last 10 years has the potential to repatriate, keeping funding costs low and pushing out capital on the risk curve.

The combination of these forces could then attract foreign inflows, increasing demand for the Won, leading to an exciting virtuous cycle similar to that experienced in the U.S.

More granularly, it's likely that within the next 18 months, South Korea will begin to stimulate preemptively to counter the effects of a weakening U.S. dollar. This will manifest through a steepening of the Korean Treasury Bond curve. A steeper curve will initiate repatriation of foreign portfolio holdings, particularly given Korea's large NIIP.

Crucially, surplus nations no longer have incentives to accumulate outsized FX reserves or paper assets from large DMs. What has previously served to stabilize currency pegs and protect against sovereign debt crises no longer makes sense. Why, after years of sovereign bond drawdowns, inflationary policies and promises of future debasement, would surplus countries continue to buy the increasingly worthless assets of DMs instead of investing in real assets? There is an accelerating global shift toward converting the abundant paper reserves and lopsided NIIPs into tangible investments: commodities, domestic infrastructure, military capacity, and local supply chains.

Korea is particularly advantaged by its substantial reserve of paper claims that it can sell for domestic investment. As capital flows home, the KRW will strengthen further, reinforcing disinflationary forces and lowering the real cost of imports. These flows will likely continue to push Korean rates higher, not because of instability, but because of increasing expectations for growth.

Higher real rates in Korea, even potentially relative to the U.S., will begin to attract foreign inflows from global investors. Korea's fiscal injections, currency strength, and healthy balance sheet give it an unusual ability to sustain expansionary policy without the usual penalty of currency depreciation or rising credit risk. This is a virtuous cycle and offers a reflexive opportunity if Korean policymakers embrace it: repatriation boosts domestic markets, rising asset prices attract foreign flows, the Won appreciates further, disinflation provides more fiscal headroom, and the cycle repeats.

A7 China's Export Retrenchment

(Predictions 17 & 18)

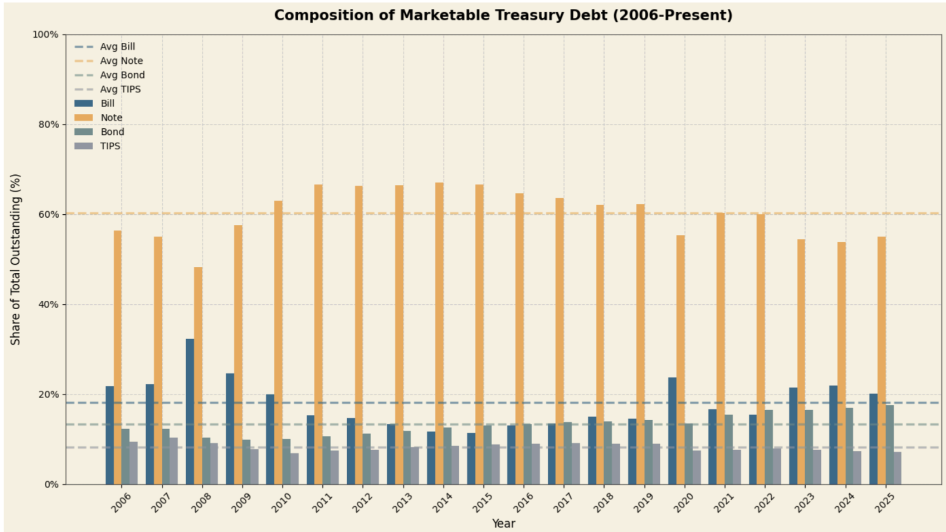
China is likely to retrench in its export position and fight to suppress the RMB's appreciation against the Trump administration's moves to weaken the U.S. dollar. More generally, the current set of export-led economies may increasingly trade amongst themselves based on relative currency strength. Consider Japan and Korea; both countries are likely to accept the trend of a weakening dollar relative to their currencies because they heavily benefit from their alliances with the U.S. If, as anticipated, the Yen and the Won appreciate against the dollar, they will appreciate against the artificially weak RMB, allowing China to export to these appreciating currencies, which will effectively insulate China from declining U.S. demand without meaningful domestic economic restructuring.

In the short term, China is dealing with a deflationary slowdown; allowing the RMB to strengthen would further exacerbate these conditions . Moreover, unlike the 2000–2015 era, when export income was largely recycled into the U.S. Treasuries, China today is increasing allocations to non-Western assets such as Middle Eastern infrastructure, African resource deals, and Belt and Road projects. So far, in 2025, there is evidence that Beijing is actively deploying China's FX reserves and FX-policy tools to manage currency strength. As of July 2025, SAFE (China's FX regulator) reaffirmed its goal to maintain "reasonable and balanced" RMB levels, even after a ~1.7 % appreciation against the dollar this year. Data also shows state banks accumulating foreign assets to offset market-driven RMB strength.

A8 DMs and Financial Repression

(Predictions 6, 7, 8, 9 & 10)

Are long-term sovereign bond yields of hyperfinancialized surplus countries rising in part because of an anticipated slowdown of foreign savings inflows that has been so supportive over recent decades? The sharp increases in U.S., U.K., and Japanese long-term yields post-Covid have pitted excessive deficits against monetary and financial engineering. Consider former Secretary of the Treasury Jannet Yellen's Quarterly Refunding Announcement (QRA) in August 2023 that began increasing bill issuance to alleviate pressure on the long end of the Treasury curve.



Notice the orange Notes bars dropping below their average composition of outstanding debt in 2023, and the blue Bills bars rising above theirs.

Hyperfinancialized DMs show no serious signs of reducing their fiscal expenditures. Coupled with the gradual removal of supportive foreign inflows to their debt markets, as export countries balance their lopsided NIIPs, DMs will need to lean on their monetary powers for support.

In July 2025, the U.S. had a 10-year Treasury yield around 2%. A combination of increasing inflation, egregious peacetime fiscal deficits (extended by the passing of the One Big Beautiful Bill), and the reduction of the foreign bid for U.S. Treasuries will put significant downward pressure on real long-term rates.

When nominal yields across major DMs stop reflecting inflation, it will become apparent that financial repression is the product of decades of implicit coordination between fiscal authorities and central banks. Central banks have not merely accommodated deficits; they have actively shaped environments conducive to limitless government borrowing through sustained low-interest rates and extensive asset purchase programs. This policy regime institutionalized the perception that sovereign borrowing could scale indefinitely without material consequences. Entrenched fiscal dominance will become increasingly evident as central banks remain accommodative, potentially triggering negative real yields and driving investors toward real asset allocations.

A dramatic sovereign debt or currency crisis for these DMs remains unlikely because of the dexterity of fiscal and monetary powers. A more gradual decline in currency and low-to-negative real yields is more likely than an explosive crisis. Similar to Yellen's QRA, current Secretary of the Treasury Scott Bessent is maintaining this bill-to-coupon ratio, and why shouldn't he increase bill issuance even more if need be? Additional tricks, like Bank deregulation and SLR reserve exemption, to increase Treasury demand are being pursued and when those levers are exhausted, others will be contrived.

A9 Real Assets Will Outperform and Attract Reserve Capital

(Predictions 5, 9 & 10)

The erosion of confidence in traditional reserve currencies (USD, EUR, and GBP) is accelerating. Persistent inflation, substantial fiscal deficits, and the recent unprecedented drawdowns in DM bonds have undermined the credibility that the entire premise of their reserve status relies on. The weaponization of the dollar via sanctions and asset freezes during the beginning of Russia-Ukraine War has further eroded confidence.

Surplus nations now find themselves exposed to a stark mismatch: they have exchanged increasingly scarce real assets, such as commodities and labor-intensive manufactured goods, for rapidly inflating and abundant paper claims. Their FX reserves today are outsized and it no longer makes sense to reinvest export inflows back into increasingly unattractive bonds and fiat currencies issued by strategic geopolitical rivals. Instead, surplus nations will allocate capital toward tangible domestic and strategic assets.

China has clearly demonstrated this strategy through its increasing gold allocation and expansive Belt and Road Initiative over the past decade; channeling surplus capital into real assets rather than increasing exposure to paper reserves vulnerable to inflation and geopolitical disruption.

Additionally, the constituents of hyperfinancialized DMs are rational and want to protect their purchasing power in a regime that is clearly debasing their local currency. Retail and institutional positioning in gold and bitcoin, both of which have significantly outperformed post-Covid, underscore this trend. It is likely that other metals and commodities will attract speculation ahead of sovereigns allocating to investments for strategic purposes.

This rotation out of DM bonds into real assets serves multiple goals. It boosts domestic growth, enhances national security by reducing vulnerability to external financial shocks, and helps rebalance NIIPs. It also supports currency repatriation and reduces reliance on volatile capital inflows. As reserves migrate from paper claims toward tangible commodities and infrastructure, surplus nations gain a disinflationary buffer to offset imported inflation from developed economies. This trend positions several resource-rich countries, particularly in Latin America, as emerging epicenters for capital inflows and geopolitical relevance.

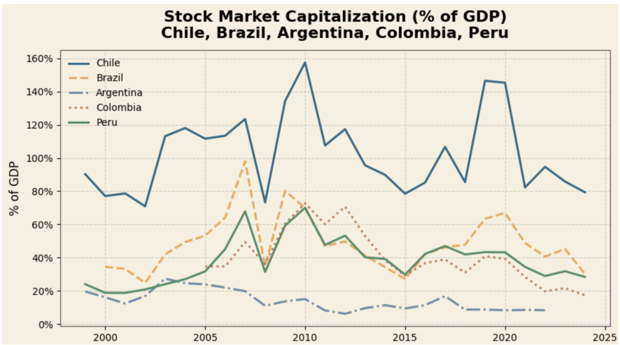
The process of converting DM bonds into real assets is multipurpose. It boosts domestic growth, enhances national security by reducing exposure to external financial shocks, balances NIIPs, and supports the repatriated local currency. As reserves shift away from financial assets toward tangible commodities and infrastructure, surplus nations will benefit from a disinflationary tailwind, offsetting imported inflation from developed economies. Lastly, it positions several “real asset” rich countries, particularly in Latin America, as prime beneficiaries of this regime shift.

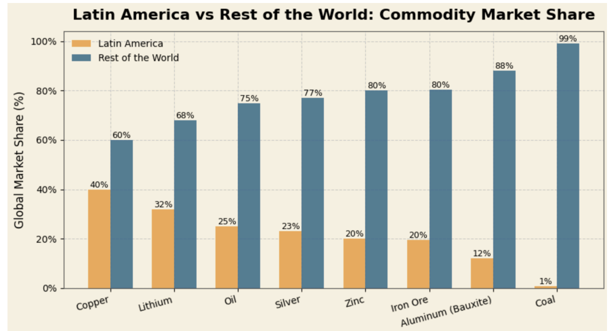
A10 Opportunities in Latin America

(Predictions 19 & 20)

Several factors point to Latam as an area to watch over the longer term if Modern Mercantilism continues to drive global policy. The U.S. is actively diversifying away from Asia and increasingly seeking control over its geographic neighborhood. The Trump administration’s tariffs have focused on Mexico, Canada, Europe, and Asian trading partners more so than Latin American countries.

Further, consistent with the global theme of sovereigns (and therefore speculators) shifting away from inflating paper assets to real assets and commodities, Latam offers markets at low valuations and resource-rich geographies.





Latin America sits on a resource base comparable to that of China several decades ago, prior to China's expansive investment into refining and industrial infrastructure. Chile, Peru, Brazil, Argentina, and Colombia possess substantial deposits of critical minerals such as copper, lithium, zinc, silver, and rare earths. China historically leveraged similar reserves as a foundation to build out extensive commodity processing ecosystems, becoming dominant in refining and advanced manufacturing.

Unlike South Korea's rapid snap-back potential from large FX reserves and NIIP strength, capital flows into Latin America are likely to be protracted and institutional, anchored by highly visible Foreign Direct Investment (FDI) in factories, refineries, or energy plants. It is entirely plausible that, in the near term, a series of U.S. or global conglomerates will initiate large-scale operation in Latin America, boosting FDI, lifting valuations, and reinforcing the region's appeal within the global pivot toward commodities and real assets.

A11 Evaluating Countries in the Modern Mercantilist Era

The following table shows which countries are most exposed, and best positioned, in the era of Modern Mercantilism. The current account–to–GDP ratio, the 10-year change in NIIP–to–GDP, and exports to the U.S. as a percent of GDP highlight the degree to which countries have globally integrated their financial and trade systems. Government debt–to–GDP, fiscal deficits–to–GDP, and government bond yields reflect the fiscal and monetary environment faced by policymakers. FX reserves–to–GDP illustrate the unique position of certain export-driven countries as they weigh how to deploy these reserves. Finally, the 20-year P/E percentile provides a sense of relative equity market valuation, clearly showing a divergence between hyperfinancialized developed markets and emerging markets.

*Please follow this link to access the code I wrote to produce the data and visuals behind this table and every chart shared in this paper: [here](https://github.com/adssoccer1/Macro/tree/main/Modern%20Mercantilism%20Challenge)

(https://github.com/adssoccer1/Macro/tree/main/Modern%20Mercantilism%20Challenge)

Modern Mercantilism Countries Macro • July 2025

Country	CurrentAcct to GDP %	GovDebt to GDP	Fiscal Deficit to GDP	Nominal 10y Yield	Real 10y Yield	Policy Rate %	FX Reserves to GDP %	NIIP/GDP Change 10yr Lookback	Exports to USA as % of GDP	P E Pctile 20y Lookback	Nasdaq Corr 1y
AR	0.99	83.3	-4.37	—	—	29.0	4.9	14.0	1.1	68 %	0.54
BR	-2.81	83.03	-8.5	14.15	8.85	15.0	17.4	-62.0	2.1	65 %	0.38
CA	-1.0	110.8	-2.1	3.6	1.7	2.75	5.8	569.0	20.9	≈100 %	0.8
CH	2.2	88.3	-5.8	1.66	1.56	3.0	18.4	28.0	2.9	32 %	—
CL	-1.47	41.7	-2.8	5.6	1.5	5.0	13.9	-101.0	4.8	4 %	0.54
CO	-1.77	61.3	-5.8	11.8	7.0	9.25	18.5	-82.0	4.4	6 %	0.55
DE	5.73	87.4	-3.1	2.52	-0.08	2.15	9.5	283.0	4.4	≈100 %	0.23
GB	-2.65	138.64	-4.8	4.52	1.16	4.25	6.6	-74.0	2.4	≈100 %	0.13
IN	-0.83	81.59	-4.8	6.3	4.2	5.5	18.9	45.0	2.4	99.6 %	0.13
JP	4.82	215.91	-5.5	1.42	-1.65	0.5	30.8	68.0	3.5	61 %	0.06
KR	1.92	52.3	-3.9	2.84	0.45	2.5	24.6	965.0	7.5	87%	0.08
MX	-0.8	45.14	-5.7	9.39	5.71	8.0	15.5	6.9	34.4	16 %	0.44
MY	1.69	64.32	-4.1	3.5	2.2	2.75	28.5	-96.0	10.9	15 %	-0.04
PE	2.21	35.25	-3.2	6.1	4.4	4.5	28.3	-19.0	3.4	25 %	0.58
TH	2.11	61.12	-2.2	1.5	1.75	1.75	45.6	151.0	0.0	34 %	0.53
TR	-0.75	33.11	-4.9	32.04	-3.01	46.0	9.7	31.0	1.7	93 %	0.3
US	-3.88	114.76	-6.2	4.38	1.44	4.5	0.2	-169.0	0.0	99.98 %	0.97